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electronic products are already mature, having been well-developed in China and other markets. Indian products need efficient manufacturing strategies rather than ODMs. So, there is minimal Making in India and more Bolting in India in this space.

Reverse logistics gaining importance

India is still not a use-and-throw market for electronic products. Thus, after-sales services, including repair and maintenance, are quite important for the Indian consumer. Moreover, the advent of e-commerce reverse logistics has

become an important activity to handle rejects and serve warranty. Thus, this service is bound to grow as online business grows. Global OEMs also prefer to outsource reverse logistics.

Echoing this view, 80 per cent (Fig. 4) of survey participants said that additional scope for business lies in reverse logistics. They feel that services related to repair/

rework and refurbishment work will not only help EMS firms get additional business from OEMs, but also enable them to play a role in e-waste management. According to them, reverse logistics service is gaining importance as well.

However, considering the complexity of reverse logistics processes, only a few expert EMS providers in India can enter this space.

The way ahead

The success of Indian EMS players depends on several factors. Possible challenges that could derail the growth of this industry in the country are given below.

1. Inefficient supply chain for required electronic components
2. High cost of finance
3. Logistics inefficiencies and infrastructural bottlenecks, resulting in greater turnaround times and costs
4. High infrastructure costs
5. Shortage of skilled manpower
6. Lack of technological advancements

Successful resolution of the above-mentioned issues through appropriate industry initiatives and government interventions will help this industry move ahead. Otherwise, it will survive only on the basis of trade differentials. We have a reasonably good EMS base in the country, which can be scaled up quickly based on demand. **EFY**

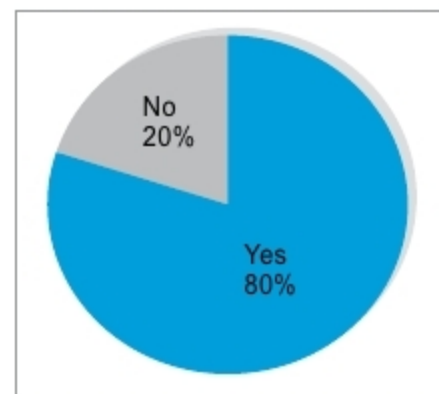


Fig. 4: Prediction about demand for reverse logistics service in India

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